

Lecture 06 (2026-05-31)

Quick Summary

Introductory segment on Journal entries, moving from the accounting equation to the journal and then to the ledger. This segment includes a discussion on traditional accounting rules (Real, Personal, Nominal) and the transition from Journal entry logic to Ledger posting logic.

Key Definitions

- **JV (Journal Voucher):** The inventory or invoice number from which the entry originates.
- **LF (Ledger Folio):** The specific page in the ledger where the transaction is posted.
- **Drawings:** A specific account used to record a proprietor's withdrawals for personal use.
- **Narrations:** A description of the transaction at the end of a journal entry, always starting with the word "Being".
- **Accrual Basis:** The accounting principle where expenses are recorded when they are incurred (due), rather than when the cash is actually paid.

Account Classifications (from Screenshot Content):

- **Asset:** Located on the Left-Hand Side (LHS) of the equation.
- **Liability:** Located on the Right-Hand Side (RHS) of the equation.
- **Expense:** Located on the Left-Hand Side (LHS).
- **Income:** Located on the Right-Hand Side (RHS).
- **Real Account:** Accounts for physical assets like Cash and Inventory.
- **Personal Account:** Accounts for entities or individuals (e.g., Accounts Receivable, Accounts Payable, Capital).
- **Nominal Account:** Accounts for expenses, losses, income, and gains.
- **Trial Balance:** A book of accounts where all ledger entries and balances are posted in one place to ensure arithmetical accuracy before preparing final financial statements. If it does not balance, it indicates a mistake in posting or calculation.
- **Balance Carried Down (b/c):** A notation used in a ledger to represent the amount being carried forward to the next period to ensure both sides of the ledger are equal.
- **Depreciation:** The reduction in the value of a tangible asset over time (Debit).
- **Amortization:** The reduction in the value of an intangible asset over time (Debit).
- **Prepaid Salary:** A payment for a service that has been paid for but not yet consumed (Asset/Debit).
- **Goods Lost by Fire:** A loss of inventory, categorized as an expense (Debit).

Worked Examples

Journal Entry Structure (from Screenshot Content): The journal uses the following column structure: 1. Date 2. Particulars (The longest column for descriptions) 3. JV (Journal Voucher) 4. LF (Ledger Folio) 5. Debit (Amount) 6. Credit (Amount)

Example 1: Starting Business - Transaction: Started business with ■50,000. - **Step-by-Step Analysis:** - **Aspect 1:** Bank/Cash (Asset). Since the asset is increasing, it is recorded as a **Debit**. - **Aspect 2:** Share Capital/Owner's Equity. Since the equity is increasing, it is recorded as a **Credit**. - **Entry:** - Date: Jan 1, 2026 - Debit: Bank account Dr. - Credit: To Share capital account - Amount: 50,000 - Narration: Being business started with bank/cash ■50,000 - **Reasoning:** This follows the accounting equation approach. Assets are on the left-hand side (LHS), and Equity is on the right-hand side (RHS).

Example 2: Taking a Loan - Transaction: Took a loan of ₹200,000 from SBI. - **Step-by-Step Analysis:** - **Aspect 1:** Bank account (Asset). As the bank balance increases, it is a **Debit**. - **Aspect 2:** SBI loan (Liability). As the liability increases, it is a **Credit**. - **Entry:** - Date: Jan 1, 2026 - Debit: Bank account Dr. - Credit: To SBI loan account - Amount: 200,000 - Narration: Being loan taken from SBI - **Reasoning:** Both aspects must be recorded to ensure the trial balance and balance sheet tally.

Example 3: Owner Withdrawal - Transaction: Owner withdrew ₹50,000 for personal use. - **Step-by-Step Analysis:** - **Aspect 1:** Bank account (Asset). Since the asset is decreasing, it is a **Credit**. - **Aspect 2:** Drawing account. This represents a reduction in the owner's equity. Because equity is decreasing, it is recorded as a **Debit**. - **Entry:** - Date: Jan 2, 2026 - Debit: Drawing account Dr. - Credit: To Bank account - Amount: 50,000 - Narration: Being money withdrawn by owner - **Reasoning:** The term "Drawings" must be used specifically rather than "Capital" to distinguish the transaction as a personal withdrawal.

Example 4: Purchase of Machinery (Asset) - Transaction: Machinery purchased, ₹50,000. - **Step-by-Step Analysis:** - **Asset Analysis:** Machinery is an asset. It is increasing. (Mental Step: Identify Increase/Decrease first). - **Asset Analysis:** Bank/Cash is an asset. It is decreasing. - **Entry:** - Date: Jan 3, 2026 - Debit: Machinery account Dr. - Credit: To Bank account - Amount: 50,000 - Narration: Being machinery purchased for ₹50,000 - **Reasoning:** Use specific names for fixed assets (e.g., "Machinery") rather than "Purchase" for tangible assets. Use the "To" convention for the credit side.

Example 5: Purchase on Credit (Supplier Entry) - Transaction: Purchased goods from Ram and Company, ₹20,000. - **Step-by-Step Analysis:** - **Aspect 1:** Purchase (Expense). It is increasing. (LHS). - **Aspect 2:** Ram and Company (Liability/Creditor). It is increasing as it is a debt to a specific party. (RHS). - **Entry:** - Date: [Date] - Debit: Purchase account Dr. - Credit: To Ram and Company - Amount: 20,000 - Narration: Being goods purchased from Ram and Company - **Reasoning:** Use the specific name of the supplier (e.g., "Ram and Company") rather than a generic "Supplier" or "Accounts Payable" account to ensure the debt is traceable to a specific entity.

Example 6: Purchase with Discount - Transaction: Raw materials purchased for cash, ₹50,000, with a 10% discount. - **Step-by-Step Analysis:** - **Aspect 1:** Purchase (Expense). Increases. (LHS). Amount: 50,000. - **Aspect 2:** Discount Received (Income). Increases. (RHS). Amount: 5,000 (10% of 50,000). - **Aspect 3:** Bank/Cash (Asset). Decreases. (LHS). Amount: 45,000. - **Entry:** - Date: Jan 5, 2026 - Debit: Purchase account Dr. - Credit: To Bank account - Credit: To Discount received account - Amount: 50,000 (Debit), 45,000 (Bank), 5,000 (Discount) - Narration: Being goods purchased at 10% discount - **Reasoning:** The entry accounts for three components: the gross purchase, the income from the discount, and the actual amount paid to the bank.

Example 7: Payment to Creditor - Transaction: Cash paid to Ram and Company, ₹20,000. - **Step-by-Step Analysis:** - **Aspect 1:** Ram and Company (Liability). It is decreasing because the debt is being settled. (RHS). - **Aspect 2:** Bank (Asset). It is decreasing as cash/bank balance falls. (LHS). - **Entry:** - Date: Jan 6, 2026 - Debit: Ram and Company Dr. - Credit: To Bank account - Amount: 20,000 - Narration: Being amount paid to Ram and Company - **Reasoning:** No "Expense" is recorded here because the expense was already recognized at the time of purchase (Accrual Basis). This entry only reflects the settlement of a liability.

Example 8: Purchase Return - Transaction: Goods returned to XYZ, ₹20,000. - **Step-by-Step Analysis:** - **Aspect 1:** Purchase Return (Expense). An expense is decreasing. Since it's on the LHS, a decrease is a Credit. - **Aspect 2:** Bank/Cash (Asset). Asset is increasing. Since it's on the LHS, an increase is a Debit. - **Entry:** - Date: Jan 7, 2026 - Debit: Bank account Dr. - Credit: To Purchase Return account - Amount: 20,000 - Narration: Being goods returned to XYZ - **Reasoning:** A separate account "Purchase Return" is used instead of "Purchase" because the transaction type is different (reduction of expense). Use the entity's name (XYZ) only in the narration or if payment is not received immediately.

Example 9: Sale of Goods - Transaction: Goods sold, ₹50,000. - **Step-by-Step Analysis:** - **Aspect 1:** Sales (Income). Income is increasing. Since it is on the RHS, an increase is a Credit. - **Aspect 2:** Bank (Asset). Asset is increasing. Since it is on the LHS, an increase is a Debit. - **Entry:** - Date: Jan 8, 2026 - Debit: Bank account Dr. - Credit: To Sales account - Amount: 50,000 - Narration: Being goods sold - **Reasoning:** While inventory (stock) physically decreases, the accounting entry reflects the transaction as a "Sale" (Income increase).

Example 10: Interest Paid - Transaction: Interest paid, █20,000. - **Step-by-Step Analysis:** - **Aspect 1:** Interest (Expense). Expense is increasing. (LHS). - **Aspect 2:** Bank (Asset). Asset is decreasing. (LHS). - **Entry:** - Date: Jan 9, 2026 - Debit: Interest Expense account Dr. - Credit: To Bank account - Amount: 20,000 - Narration: Being interest paid - **Reasoning:** In this transaction, both items are on the LHS. One is an increase in an expense, and one is a decrease in an asset.

Example 11: Advertising Expense - Transaction: Advertising expense, █5,000. - **Step-by-Step Analysis:** - **Aspect 1:** Advertising (Expense). Increase. (LHS). - **Aspect 2:** Bank (Asset). Decrease. (LHS). - **Entry:** - Date: Jan 10, 2026 - Debit: Advertising account Dr. - Credit: To Bank account - Amount: 5,000 - Narration: Being advertising expenses paid - **Reasoning:** Both items are on the LHS. Use "Bank" rather than "Cash" for general transactions as they are usually clubbed in companies.

Example 12: Rent Outstanding - Transaction: Rent outstanding, █5,000. - **Step-by-Step Analysis:** - **Aspect 1:** Rent (Expense). The time to pay has arrived, so it must be shown as an expense. (LHS). - **Aspect 2:** Rent Outstanding (Liability). The liability increases because it hasn't been paid yet. (RHS). - **Entry:** - Date: Jan 11, 2026 - Debit: Rent account Dr. - Credit: To Rent Outstanding account - Amount: 5,000 - Narration: Being rent outstanding - **Reasoning:** This entry captures both the recognition of an expense and the creation of a liability.

Example 13: Bank Ledger Posting (Multiple Transactions) - Scenario: Posting transactions to the "Bank" ledger. - **Transaction 1:** Started business with █50,000. - **Analysis:** Bank (Asset) increases. Rule: Left side (Debit). - **Entry:** Debit: To Capital Account. Amount: 50,000. - **Transaction 2:** Took loan of █20,000. - **Analysis:** Bank (Asset) increases. Rule: Left side (Debit). - **Entry:** Debit: To Loan Account. Amount: 20,000. - **Transaction 3:** Sold goods for cash, █80,000. - **Analysis:** Bank (Asset) increases. Rule: Left side (Debit). - **Entry:** Debit: To Sales. Amount: 80,000. - **Transaction 4:** Purchased goods for cash, █20,000. - **Analysis:** Bank (Asset) decreases. Rule: Right side (Credit). - **Entry:** Credit: By Purchase. Amount: 20,000. - **Transaction 5:** Paid advertising expenses, █50,000. - **Analysis:** Bank (Asset) decreases. Rule: Right side (Credit). - **Entry:** Credit: By Advertisement. Amount: 50,000. - **Transaction 6:** Rent outstanding, █20,000. - **Analysis:** No cash involved in the bank ledger. - **Entry:** (Omitted from Bank Ledger). - **Transaction 7:** Purchased machinery for cash, █10,000. - **Analysis:** Bank (Asset) decreases. Rule: Right side (Credit). - **Entry:** Credit: By Machinery. Amount: 10,000. - **Reasoning:** In a ledger, each entry reflects the *reason* why the account is being debited or credited. For example, the "To Capital" entry records the reason the bank balance increased (the capital investment).

Example 14: Ledger Balancing (Advertisement Account) - Scenario: Determining the balance for an expense account that has both a paid portion and an outstanding portion. - **Step-by-Step Analysis:** - **Total Amount (Expense):** 70,000 (This is the full amount incurred). - **Cash Component:** 50,000 (The amount paid via bank). - **Liability Component:** 20,000 (The "Outstanding" portion). - **Ledger Entry:** - Debit side: Advertisement (70,000) - Credit side: By Bank (50,000) and By Outstanding (20,000). - **Calculation:** Since the total debit side (70,000) equals the total credit side (50,000 + 20,000), the account is balanced. - **Reasoning:** This ensures the total liability and actual expense are captured. In cases where a "Balance Carried Down" is needed, it is the difference between the debit and credit totals.

Example 15: Trial Balance Construction (from Screenshot Content) - Scenario: Determining which side an item falls on in the Trial Balance. - **List of Accounts and Placement:** - **Purchase:** Debit (LHS) - **Rent:** Debit (LHS) - **Capital:** Credit (RHS) - **Sales:** Credit (RHS) - **Advertising:** Debit (LHS) - **Inventory (Closing Stock):** Debit (LHS) - **Plant and Machinery:** Debit (LHS) - **Loan:** Credit (RHS) - **Commission Received:** Credit (RHS) - **Bad Debts:** Debit (LHS) - **Bad Debts Recovered:** Credit (RHS) - **Creditors:** Credit (RHS) - **Debtors:** Debit (LHS) - **Reasoning:** Use the standard rule: Items on the Left-Hand Side (Assets and Expenses) are Debited; items on the Right-Hand Side (Liabilities, Income, and Equity) are Credited.

Example 16: Trial Balance Classification (New Segment) - Scenario: Identifying the correct side for common accounts during Trial Balance preparation. - **Items & Classification:** - **Insurance Premium:** Debit (Expense) - **Goods Lost by Fire:** Debit (Loss/Expense) - **Depreciation:** Debit (Expense) - **Amortization:** Debit (Expense) - **Discount Received:** Credit (Income) - **Dividend Received:** Credit (Income) - **Loan Given to Third Party:** Debit (Asset) - **Reasoning:** - Items like insurance, depreciation, and amortization are recorded on the LHS (Expense/Loss). - "Discount Received" and "Dividend Received" are on the RHS (Income/Gain). - A "Loan Given" is an asset because the entity holds the right to that money (it is an amount owed *to* the company).

Formulas & Rules

Journal Entry Rules:

- **Debit side:** Write the account name followed by "Dr." (e.g., Bank account Dr.).
- **Credit side:** Use the word "To" before the account name (e.g., To Share capital account).
- **Amount:** Only the amount is written on the credit side (do not repeat the amount on the debit side).

Ledger Posting Rules:

- **Debit side:** Reflects an increase in an asset or expense.
- **Credit side:** Reflects a decrease in an asset/expense or an increase in a liability/income.
- **Credit notation:** Use the word "By" for credit entries in a ledger (e.g., By Purchase).
- **Accounting Equation Approach:** Use the accounting equation (Assets = Liabilities + Equity) to determine debit/credit rather than the "three golden rules."
- **Trial Balance Purpose:** The Trial Balance is used to check mathematical accuracy before preparing financial statements.
- **Flow of Information:** Journal $\rightarrow$ Ledger $\rightarrow$ Trial Balance $\rightarrow$ (Statement of Profit and Loss, Balance Sheet, and Cash Flow are prepared simultaneously).
- **Asset Naming:** Use specific names for assets (e.g., "Machinery") rather than the general term "Purchase" when referring to tangible assets. "Purchase" is reserved for raw materials.
- **Supplier Identification:** Use the specific name of the supplier in the credit column to maintain a clear record of who is owed.
- **Discount Calculation:** When a discount is involved, record the full amount in the purchase account (Debit), the discount amount in the discount account (Credit), and the net paid amount in the bank account (Credit).
- **Cash vs. Bank Rule:** Use "Bank" for most transactions as they are usually clubbed together. "Cash" is specifically used for petty (small) expenses.
- **Cashing Up (Ledger Balance):** To find the balance of a ledger account, total the debit side and credit side. The difference is the balance. To "balance" the books, write "Balance Carried Down" (b/c) on the side with the smaller total.
- **Trial Balance Calculation Rule:** To place an item in a Trial Balance, apply the LHS/RHS rule.
 - **Debit (LHS):** Assets, Expenses, Drawings.
 - **Credit (RHS):** Liabilities, Income, Capital.

Tricky Logic & Traps

- **Drawings vs. Dividends:** While both represent a reduction in equity, Dividends are technically on the right-hand side (RHS) of the accounting equation as a negative number but are written on the left-hand side (LHS) to keep the value positive. Drawings are kept separate as a specific account.
- **Drawings vs. Capital:** Do not use "Capital account" for personal withdrawals; you must use the term "Drawing account" to ensure the distinction between capital investment and personal usage is clear.
- **Why Separate Accounts?** Specific accounts (like Drawings or specific Supplier names) are created so that transactions can be analyzed and summarized in the future. For example, an auditor in 2035 must be able to identify exactly what occurred in 2026.
- **The "To" and "By" Conventions:** "To" is the standard convention for the credit side of a **Journal**. "By" is the standard convention for the credit side of a **Ledger**. These are linguistic rules and should not be questioned.
- **Payment vs. Expense (Accrual Basis):** A common mistake is recording a payment to a creditor as an "expense." Because of the accrual basis of accounting, the expense is recorded when it is "due" (at the time of purchase). The subsequent payment of that debt is a reduction in liability, not a new expense.
- **The "Both LHS" Rule:** It is a common misconception that one side of an entry must be LHS and the other must be RHS. If a transaction involves an expense (LHS) and an asset (LHS), both entries will be on the LHS. This occurs frequently when paying for expenses (e.g., Interest, Advertising).
- **Purchase Return vs. Purchase:** Do not use the "Purchase" account for returns. Because "Purchase" is for the initial acquisition, "Purchase Return" is a distinct account used to reflect the reduction of that specific expense category.

- **Inventory vs. Sales:** While logic dictates that inventory (stock) decreases when sold, the accounting entry focuses on the **Sale** (Income increase) and **Bank** (Asset increase).
- **Offer/Quantity Logic:** Before deciding on Debit or Credit, mentally determine if the item is increasing or decreasing. If an asset is increasing, it is a Debit. If a liability/asset is decreasing, it is a Credit.
- **Traditional vs. Equation Rule:** The traditional rules (Real, Personal, Nominal) are "non-scientific" and can cause confusion with complex items like "Rent Outstanding" or "Rent Prepaid." While you may need to know them for theory questions, the **Accounting Equation** (Asset, Liability, Income, Expense) is the more robust method for passing entries and preparing ledgers.
- **Ledger Entry Purpose:** Unlike a Journal entry which captures both sides of a transaction, a Ledger entry focuses on **one** aspect. The entry on the opposite side in a ledger serves as the "reason" why that specific account was debited or credited.
- **"Purchase" vs. Specific Assets:** In a ledger, use specific names like "Machinery" instead of "Purchase" when the purchase is of a fixed asset. "Purchase" should only be used for the acquisition of goods for resale.
- **Purchase vs. Fixed Assets (Terminology Trap):** A common confusion is using "Purchase" for fixed assets. "Purchase" is reserved strictly for the acquisition of goods for resale. If it is a tangible asset (like machinery or land), use the specific asset name.
- **Bank Ledger Inclusion (Liquidity Rule):** Only items that affect the actual balance of the bank account (cash in or cash out) appear in the Bank Ledger.
- **Outstanding vs. Prepaid:** "Outstanding" expenses have not been paid and do not appear in the Bank Ledger. "Prepaid" expenses have already been paid and would appear in the calculation of the bank balance.
- **Bad Debts vs. Bad Debts Recovered:** "Bad Debts" are an expense (Debit). "Bad Debts Recovered" is income (Credit). These must be placed on opposite sides of the Trial Balance.
- **The "Bank" Statement Paradox:** Students often get confused because their mobile bank app shows a "Debit" when they spend money. This is because the bank is viewing the transaction from **their** perspective; since they view your account as a liability, a decrease in that liability is a debit to them. You must always record based on the company's perspective (where the bank balance is an asset).
- **Loan Given vs. Loan Taken:** A loan *taken* by the company is a liability (Credit). A loan *given* to a third party is an asset (Debit) because it is a value the company owns but is currently held by another.
- **Dividend vs. Dividend Received:** A "Dividend" (distribution of profit) is a reduction in equity (Debit). "Dividend Received" is income (Credit).
- **Prepaid vs. Outstanding Logic:** "Prepaid" items are assets (Debits) because the payment has been made but the benefit has not been consumed. "Outstanding" items are liabilities (Credits) because the benefit has been received but payment is still owed.

Exam Pointers

- **Naming Convention:** Use "Dr." instead of writing the full word "Debit" in the journal entry.
- **Mandatory Narration:** Always include a narration starting with "Being" to describe the transaction; this is a requirement for formal journal entries.
- **Standardization:** Treat "Being" and "To" (for journals) and "By" (for ledgers) as fixed linguistic rules that are not to be questioned or changed.
- **Maximum Information:** For the exam, provide the maximum amount of information possible (e.g., including the specific amount in the journal entry). While some textbooks omit it, including it is the safest way to ensure full credit.

Sources

- Transcript
- Journal Ledger Trial Balance.xlsx
- Accounting Equations -solved and uploaded.xlsx
- Accounting Equations -questions.xlsx
- cash flow statement-2026.xlsx